

Profit pool focuses on distribution of profits within the industry. Profit pool helps us identify the different activities within an industry, the size of each activity and how profitable it is. It helps us focus on the activities that are bigger in size or the ones that are more profitable.^[4]

**Size of
each
activity**



**Profitability
of Each
activity**

How large is each
activity in terms of size

How profitable is
each activity

Before conducting a profit pool analysis, one must define the pool. This refers to defining the boundaries by identifying the value chain activities that are relevant to the analysis and within the scope of the industry. For analysis and developing a strategy, where should the value chain begin and end?

amazon

Myntra

**MARKS &
SPENCER**

Levi's

E-COMMERCE MARKETPLACE

For e-commerce marketplaces, including manufacturing activities in the pool, may not be directly relevant.



Manufacturing

BRAND

For a manufacturer who sells through e-commerce marketplaces, it is relevant to add manufacturing and selling activities in the pool.



Manufacturing

Once the profit pool activities have been identified, the size of each activity, in terms of revenue and matching profitability, needs to be identified. The challenge here is that the reporting requirements of the companies do not require them to report activity-wise data. Also, companies carry out a combination of activities, thus making the process of obtaining activity-wise numbers a complex one. The process is then a matter of aggregating and disaggregating.